Green Ash on SpaceX & the space economy, and EchoStar (ECHO, ex-SATS) as a SpaceX proxy

Magis Capital Partners: internal research note

October 14, 2026 (prices as of Oct 13 close / Oct 14 intraday, ET)

How to read this note. Tags: **[F]** is a fact from a primary or named source. **[GA]** is a Green Ash claim or estimate, reported but not verified. **[Mgmt]** is EchoStar management on the Q2 2026 call (third-party transcript). **[I]** is our own inference or arithmetic. Text in quotation marks is copied verbatim from the cited document. There are no paraphrased "quotes" and no price targets. Full source list: `sources/SOURCES.md`.

0. Bottom line

1. **What SPCX is.** SPCX is **Space Exploration Technologies Corp. (SpaceX) Class A common stock on Nasdaq**. The IPO priced at $135 on Jun 11, 2026, trading began Jun 12, and the deal closed Jun 15 [F: SEC 8-K Jun 15, 2026; 424B4]. SPCX is not a fund or ETF. TSX "SPCX" is a separate CAD-hedged CDR. EchoStar's own ticker changed from **SATS to ECHO** on Jun 24, 2026 [F: EDGAR submissions].
2. **Green Ash's thesis in one line [GA].** SpaceX is a cost-setting monopoly for access to orbit. GA calls it the "central bank" of the space economy and says it owns the "boxing stadium". The listed ways to own it are SpaceX itself, EchoStar (a discounted, event-driven proxy holding SpaceX equity) and Filtronic (the sole-source E-band RF supplier to Starlink ground stations). In Sept 2026 the fund held about **9.7% NAV SpaceX, 9.6% EchoStar and 9.8% Filtronic**, roughly 29% of NAV in the SpaceX complex. It was also short AST SpaceMobile and Verizon [F: GA Sept-2026 factsheet].
3. **The EchoStar setup is real but contingent [F].** EchoStar sold AWS-4/H-block and unpaired AWS-3 to SpaceX for **$19.617bn**. Up to **$11.117bn** is paid in SpaceX Class A stock, now about **261.8m SpaceX shares** (fixed at $42.40 after the 5-for-1 split). The remainder retires EchoStar's Seller Notes. The licences moved into a trust on **May 22, 2026**, but **EchoStar does not receive the SpaceX shares until the Spectrum Acquisition Closing, expected around Nov 30, 2027**.
4. **Look-through [I].** At SPCX $156.54, the 261.8m shares are worth **$41.0bn**. That is **154% of ECHO's basic market cap ($26.6bn at $91.56)** and **128% of the diluted market cap ($31.9bn, counting about 58m convert shares)**. Each diluted ECHO share carries about **0.75 SPCX shares, or $117.5 of SpaceX, for a $91.56 price**.
5. **Implied discount [I].** Applying management's own balance-sheet framing (Aug 3, 2026), the market ascribes about **$12.6–24.9bn** to a **$41.0bn** SpaceX stake. That is

$48–95 per SPCX share against $156.54, a 39–69% discount. ECHO trades at a **33–47% discount** to our sourced NAV range. GA's stronger claim that the stake is valued "at less than zero" (July 2026) depends on GA's own marks for spectrum (a $13bn AWS-3 appraisal) and for Pay-TV/Hughes ($11.4bn). It does not reproduce from filings alone.

6. **Biggest open items.** (a) Post-AT&T cash comes only from the call ("about $14 billion or $15 billion"); there is no Q3 10-Q yet. (b) The tax bill on a stake whose value has quadrupled since signing; management's "$5–7bn" includes network shutdown costs and assumes mitigation. (c) Whether converts settle in cash or ECHO shares. (d) DISH Wireless tower litigation and the outcome of the Hughes Chapter 11. (e) Ergen's control (about 90% of votes) and his capital-allocation choices with about $15bn of cash.

1. Green Ash's thesis, in its own terms

Who. Green Ash Partners LLP (London, FCA-regulated). The vehicle is the **GA-Courtenay Special Situations Fund**, run by Adrian Courtenay (ex-Odey, D.E. Shaw) and small, at about $36–45m NAV in 2026. A separate **Green Ash Horizon Fund** also holds Echostar and Planet Labs [F: factsheets; Horizon slides June 2026].

Core framework (White Paper I, Jan 5, 2026) [GA, verbatim]:

- Central-bank analogy: "SpaceX can be put forward as analogous to a central bank, not because it sets interest rates to expand economic growth, but by a different mechanism: SpaceX by lowering the cost of putting mass into orbit expands the frontier of the space economy."
- Monopoly framing: "For a monopoly in this position, the company is the industry. On the same basis, SpaceX does not merely participate in the space industry; it is the space industry."
- Risk law: "absent barriers to entry, impairment risk is proportional to prospective value capture."
- Cost step-change: "SpaceX Starship represents approximately a 65-fold reduction in cost per kilogram to orbit relative to legacy non-reusable systems".
- Stadium analogy: "investing in competitive markets is like backing a boxer; investing in monopolistic infrastructure is like owning the boxing stadium."
- Key risk: "the primary risk is not competitive displacement but regulatory intervention or self-inflicted execution errors."
- The loop: "The enduring lesson is that structure dominates narrative. … It arises from a brutally simple economic loop: lower the cost of access, expand the feasible market, scale infrastructure, repeat."

Unit economics GA uses (White Paper I) [GA]. A Starlink V3 satellite costs about $1.6m all-in (about 2,083kg; about $1.4m build plus about $80/kg launch). It delivers about 1 Tbps

and about $3m of revenue, and GA doubles that to over $6m gross. GA puts net value at about $2,100/kg to orbit. A 125-tonne Starship payload is then worth about $0.26bn per launch. 144 launches a year gives about $38bn a year, and one launch a day about $100bn a year, which GA capitalises at 20x to reach about $2T. GA's later work cites cadence of 1.4 launches per day by 2031 (Q2 webinar). Its Nov-2025 factsheet cites 608 launches by 2030 and about $300bn of revenue potential.

Second white paper (Mar 2026), "A Unified Framework for Modelling the Future" [GA]. This paper scores emerging industries on phase transition, physics permission, regulatory interference and "Superorganisations". Verbatim: "In the case of SpaceX, the company will continue obsessively toward its mission, and owner Elon Musk, overseeing the world's largest communication platform X.com, can apply significant indirect pressure to address regulatory obstacles." It sizes Starlink's telecom TAM above $2T by 2040 ("presented for illustrative purposes only").

Horizon Fund view, "On the Horizon #9" [GA, verbatim]. "SpaceX has essentially provided the Windows operating system upon which orbital services can be built". On EchoStar: "Last year, Starlink purchased 50MHz of S-band spectrum and 15MHz of AWS spectrum from Echostar, to advance their direct-to-cell ambitions (EchoStar quite profitably ended up with 2.8% stake in SpaceX as part of the deal)." Its numbers: Starlink 2025 sales of $11.4bn at a 63% EBITDA margin. Illustratively, 100m subscribers at $50 gives about $60bn of revenue and about $20bn of FCF, flagged as not a forecast.

How GA's EchoStar case evolved (monthly factsheets) [GA]:

Date	GA claim
Oct-2025	Initiated ECHO at 9.2% NAV. NAV $34.8bn (38% discount), or at least $40.8bn with residual AWS-3 (47% discount). Verbatim: "EchoStar would thereon become a liquid public proxy for SpaceX, akin to Prosus as a comparable proxy for Tencent, yet with today's look-through exposure to SpaceX equity priced at less than zero."
Jan-2026	"Echostar's valuation implies SpaceX at a deep discount after accounting for cash and spectrum sale proceeds"
Jan-2026 (WP I)	Core NAV of at least $25.5bn (c.$24bn cash, $8.5bn est. tax, $13.4bn debt boxed with telco). Plus a "2.8%" SpaceX stake = $22.4bn at $800bn, giving NAV of about $48bn.
Jun-2026	SOTP (Fig. 4): 346.9m diluted shares at $101.5 = $35.2bn market cap. Gross cash

Date	GA claim
	$24.1bn. SpaceX 261.8m × $170.9 = $44.7bn. Tax −$6.0bn. NAV $62.8bn (44% discount), or $75.8bn with AWS-3 at a $13bn appraisal (53.6% discount). Telco box = 0 ($11.4bn Pay-TV/Hughes + $2bn Boost − $13.4bn debt).
Jul-2026	"EchoStar now embeds its SpaceX holding at a negative value … its SpaceX stake is ascribed at less than zero. Indeed, from month end pricing, my modelling suggests EchoStar could rise 7% and the implied look through value of its holding in SpaceX would only then reach zero"
Jul 23, 2026 webinar (machine transcript, so wording is approximate)	"Echo start [EchoStar] very much underwritten by the cash and spectrum assets. I think there's really extremely limited downside scenario if any on that stock." Also: "do we think we've overpaid for SpaceX? I think time will tell"
Aug/Sep-2026	ECHO about 9.2–9.6% NAV; SpaceX direct about 9.6–9.7%. Fund −7.7% YTD to Sept.

Where GA's numbers need correcting [I/F]:

- **"2.8%" stake is stale.** It was based on the pre-split, pre-xAI-merger SpaceX share count of about 1.9bn. Today 261.8m ÷ about 13.57bn SPCX shares ≈ **1.93%** (13.18bn on Jul 28 per the SpaceX 10-Q, plus about 391m Cursor merger shares per the Aug 14 8-K).
- **"$24.1bn gross cash"** reflects a pro-forma framing. Management on Aug 3, 2026, after the AT&T close and debt paydowns, said "about $14 billion or $15 billion in cash", excluding the $2.4bn FCC trust. GA offsets part of the gap by boxing $13.4bn of telco debt, much of which has since been repaid (DBS debt cut by about $4.35bn; the 11.75% notes redeemed).
- **"Holding"/"stake" language.** EchoStar holds a contractual right to SpaceX shares deliverable around Nov 2027, not shares today.

2. Space-economy ecosystem map (as GA frames it, plus sourced facts)

Layer	Key players	GA stance / source note
Launch (cost-setter)	SpaceX (Falcon 9, Starship	SpaceX = "the space

Layer	Key players	GA stance / source note
	V3; Flight 14 delivered first commercial V3 Starlinks), Rocket Lab, Blue Origin	industry" [GA]. Rocket Lab held by the Horizon Fund [GA]
Broadband constellations	Starlink (12.0m subs, ARPU $66 at Q2-26 [F: SPCX Q2]); Amazon Leo (adding Globalstar, ~$11bn [GA Horizon])	Starlink TAM >$2T by 2040, "illustrative" [GA]
Direct-to-cell / spectrum	SpaceX (ex-EchoStar AWS-4/H/AWS-3; Grain 800 MHz, ~$8bn reported Oct 8, 2026 [web]); AST SpaceMobile; T-Mobile/AT&T/Verizon	GA **short AST** and **short Verizon** (Sept-26) [F: factsheet]
Spectrum holders / proxies	EchoStar (SpaceX shares + remaining AWS-3 paired, 700 MHz, CBRS, etc.)	"liquid public proxy… akin to Prosus" [GA]
RF/ground supply chain	Filtronic (E-band SSPA, majority of revenue from SpaceX; $68m SpaceX order, Sept-26)	"monopolistic supplier to SpaceX" [GA]
Earth observation	Planet Labs	Held in Horizon Fund [GA]
Orbital AI / compute	SpaceX AI segment (xAI merged Feb 2026; Q2 AI revenue $2.561bn [F]); orbital data centres (~70 kW/tonne, ~6 MW/Starship [GA Horizon]); NVIDIA, ASML, Tesla ("Elon Musk complex")	Oct-2026 deck: "Understanding the Elon Musk complex" [GA]

3. SpaceX valuation drivers (sourced facts first)

- **Scale today [F, SPCX Q2 2026 release/10-Q].** Q2 revenue was $7.814bn (+92% y/y): Space $962m, Connectivity $4.291bn, AI $2.561bn. Operating loss $143m. Cash $93.5bn after the IPO (~$85.7bn gross) and a $25bn bond on Jun 26.
- **Price [F/web].** $156.54 (Oct 13 close) and about $151.81 intraday Oct 14. At about 13.57bn shares, market cap is about **$2.1T** [I]. That is about **68x annualised Q2 revenue** [I].
- **Drivers GA emphasises [GA]:**
    - Starship cadence and payload, which set $/kg and Starlink capacity.

    - V3 satellites: about 1 Tbps each and about 1,000 by Q2 2027 (per Musk via GA).
    - Starlink subs and ARPU.
    - D2C spectrum, now owned via the EchoStar and Grain deals.
    - Orbital compute.
    - Management targets cited by GA: $1T revenue "moved to 2030" and a 45% net margin target. These are aspirations, not forecasts.
    - GA's July comparison: SpaceX at 23.1x 2028 consensus EPS against Walmart 30.1x.
- **Bear facts [Drive: VIC short, Jul 12, 2026; F].**
    - About 94x trailing revenue at the IPO price.
    - ARPU falling from about $86 to $66 as the mix shifts.
    - About 80% of Falcon 9 launches carry internal Starlink payloads.
    - FY2025 net loss of about $4.9bn on $18.67bn revenue (VIC figures).
    - xAI and Cursor ($60bn) acquisitions raise capital intensity and dilution.
    - Lock-up supply is coming (§6).

4. EchoStar: verified deal terms (from SEC filings)

Item	Fact	Source
AT&T sale	3.45 GHz + 600 MHz for ~$22.65bn cash. **Closed Jul 28, 2026**: $20.25bn to EchoStar plus $2.4bn into an FCC Wireless Creditor Trust. 11.75% notes ($3.686bn) redeemed; DBS 7.75% $2bn repaid	8-K 2025-08-26; 8-K 2026-07-28
SpaceX deal #1	50 MHz AWS-4 (2000–2020/2180–2200) + H-block. $17bn total: Seller Notes payoff from the total, then up to $8.5bn in SpaceX Class A at $212/share (pre-split); SpaceX funds ~$2bn of interim interest; Starlink D2C commercial agreement	8-K 2025-09-08
SpaceX deal #2	Unpaired AWS-3 (1695–1710 MHz, 15 MHz) for $2,616,737,853 in SpaceX stock. Total consideration	8-K 2025-11-06

Item	Fact	Source
	$19,616,737,853; equity **up to $11,116,737,853**	
Cash vs stock	$8.5bn of the total goes to the "Total Payoff Consideration Amount" (10.75% and 6.75% Seller Notes, plus settling the 3.875% convert). If payoff exceeds that, EchoStar may pay the excess "in cash, its Class A Common Stock (with respect to the Convertible Notes), or both" to keep the full equity; otherwise equity is cut dollar-for-dollar	8-K 2025-09-08
Share count	After SpaceX's 5-for-1 split (May 2026): **~261.8m SpaceX Class A shares at a fixed $42.40**	10-Q Q2 2026
Status	FCC approval **May 12, 2026**; HSR expired; **Spectrum Transfer Closing May 22, 2026** (licences into Spectrum Business Trust 2025-1; SpaceX reimbursed $414m). **Spectrum Acquisition Closing (shares delivered) expected ~Nov 30, 2027**, after make-whole expiry and convert call date. Outside date Dec 15, 2027, extendable to Dec 15, 2028	8-K 2026-05-22; 10-Q Q2 2026; 8-K 2025-09-08
Seller Notes (Jun 30, 2026)	$9.821bn total: 10.75% $5.506bn; 6.75% $2.373bn; 3.875% convert $1.943bn (fair value $6.045bn; convertible into **~58m ECHO Class A**; not redeemable before Nov 30, 2027)	10-Q Q2 2026

Item	Fact	Source
Lock-up on EchoStar's SpaceX shares	**Not found** in EchoStar filings. Shares will be issued privately at closing; resale terms unknown (**gap**)	—
Remaining spectrum	Carrying value of remaining licences **$8.449bn** (Jun 30). Plan to sell remaining terrestrial spectrum (paired AWS-3, 700 MHz, CBRS, etc.) by **Sept 1, 2028**, else private auction by **Mar 1, 2029**	10-Q; Broadband Breakfast Jun 1, 2026
Tax	Deferred tax liabilities $3.407bn (book). Deconsolidation gain $9.729bn not currently taxable	10-Q Q2 2026
Subsidiaries	DISH DBS: prepack, **emerged Oct 1, 2026** (debt cut ~$4.35bn; reconsolidated). DISH Wireless: still in Ch. 11 (tower litigation). **Hughes Satellite Systems: Ch. 11 filed Aug 2, 2026** (HSSC 5.25% $627m + 6.625% $750m)	8-K 2026-10-02; 8-K 2026-08-03; 10-Q
Shares / control	159,467,376 Class A + 131,348,468 Class B = **290.8m** (Sept 4, 2026). Class B has 10 votes; **Ergen ~90.3% of voting power**; Ergen CEO since Nov 2025. Annual meeting **Oct 30, 2026** (routine items)	DEF 14A 2026-09-18
Buyback	Authorisation raised to $5bn, but "We do have some restrictions on buying back stock in our bond indentures."	[Mgmt] Aug 3 call

5. Sum-of-the-parts (SOTP)

SpaceX valuation used: SPCX **$156.54** (Nasdaq close Oct 13, 2026). Sensitivity uses $151.81, the Oct 14 intraday price. That implies about **$2.1T** of SpaceX equity value. **ECHO price: $91.56** (Oct 13 close); about $87.77 intraday Oct 14.

Method [I]:

- The $8.5bn cash leg of the SpaceX deal retires the $7.879bn of non-convert Seller Notes, so those notes and that cash net out. We ignore the ~$0.6bn residual, which is conservative.
- The in-the-money convert is assumed to settle in **~58m new ECHO shares**, matching GA's diluted count. The convert is therefore treated as shares, not debt.
- The telco operations (DBS Pay-TV, Sling, Boost, Hughes) and their debt are a "box" valued at **zero** in the base cases. GA does the same.

Line	Value ($bn)	Source / note
SpaceX shares receivable: 261.8m × $156.54	**40.98**	[F] 10-Q (count); Nasdaq price. Delivered ~Nov 2027
Cash & equivalents (ex-$2.4bn FCC trust)	**14.0–15.0**	[Mgmt] Aug 3, 2026 call ("about $14 billion or $15 billion")
Tax + wireless-network termination liability	**(5.0–7.0)**, of which $2.4bn already funded in the trust	[Mgmt] "$5 billion-$7 billion… which includes the $2.4 billion"; Ergen: model "the high end" $7bn
Remaining spectrum (paired AWS-3, 700 MHz, CBRS, …)	0 / **8.45** (book) / 13.0 (GA appraisal, AWS-3 only)	[F] 10-Q carrying value; [GA] June factsheet
Telco box: DBS (Pay-TV, Sling), Boost, Hughes, less their debt	**0** in base (GA: $11.4bn + $2.0bn − $13.4bn = 0)	[GA]. Since then DBS debt ~$9.75bn → ~$5.4bn [I from 10-Q + 8-K]; Hughes in Ch. 11
Shares: basic / diluted	290.8m / **348.8m**	[F] DEF 14A; +58m convert [F] 10-Q
ECHO market cap: basic / diluted at $91.56	26.63 / **31.94**	[I]

Scenarios (Oct 13 close prices) [I]:

Case	Non-SpaceX net assets ($bn) | NAV (bn)	NAV per diluted share	ECHO discount to NAV	Value market ascribes to SpaceX stake	Implied $/SPCX	Implied discount vs $156.54	
A. Conservative: $14.0bn cash − $7.0bn (no credit for funded trust), spectrum 0, telco 0	7.0	47.98	$137.6	33.4%	$24.9bn	$95.3	**39%**
B. Mgmt-mid: $14.5bn cash − ($6.0bn − $2.4bn funded), spectrum 0, telco 0	10.9	51.88	$148.7	38.4%	$21.0bn	$80.4	**49%**
C. B + remaining spectrum at book ($8.45bn)	19.35	60.33	$173.0	47.1%	$12.6bn	$48.1	**69%**
D. GA-style marks on today's balance	~30.5	~71.5	~$205	~55%	~$1.4bn	~$5	~97% (≈ GA's "near zero")

Case	Non-SpaceX net assets ($bn) | NAV (bn)	NAV per diluted share	ECHO discount to NAV	Value market ascribes to SpaceX stake	Implied $/SPCX	Implied discount vs $156.54
sheet: C but AWS-3 at $13bn plus telco box at GA values (11.4 + 2.0 − ~5.4 DBS − 1.38 HSSC)						

Case D uses unverified GA asset marks and an inferred DBS debt balance. It is shown only to reconcile GA's claim, not as our estimate.

Look-through exposure [I]:

- The SpaceX stake equals **154% of basic** and **128% of diluted** ECHO market cap.
- That is 0.90 SPCX per basic share and 0.75 per diluted share, or **$140.9 / $117.5 of SpaceX per ECHO share** against a $91.56 price.
- At Oct 14 intraday prices (ECHO $87.77, SPCX $151.81): the stake is $39.7bn, 130% of diluted market cap. Case A implied discount is 41%, Case C 72%.

SpaceX price sensitivity (Case A / Case C NAV per diluted share) [I]:

SPCX price	Stake ($bn)	NAV/sh (A)	NAV/sh (C)
$78 (−50%)	20.5	$79	$114
$100	26.2	$95	$131
$125	32.7	$114	$149
$156.54	41.0	$138	$173
$200	52.4	$170	$206

Tax is held flat in this table. In reality the tax falls if SPCX falls, roughly $0.55bn per $10 move at 21% [I]. If SPCX halves, Case A NAV drops below today's ECHO price. **The**

downside floor is not cash alone. The discount narrows the hit but does not remove SpaceX price risk.

6. Catalysts and dated events

Date (ET)	Event	Source
Oct 13, 2026	DISH Wireless confirmation hearing (per Ergen on Aug 3); **outcome not verified**	[Mgmt]
Oct 24, 2026	SPCX lock-up release: up to 328.4m shares	spacevalued (424B4 table)
Oct 30, 2026	ECHO annual meeting (routine). Filtronic AGM the same day	DEF 14A; email
~Early Nov 2026	SPCX Q3 results (≈Nov 5 per calendars). “Additional Release Shares” lock-up tied to first earnings release	web; 424B4 via spacevalued
~Early–mid Nov 2026 (est.)	ECHO Q3 10-Q: first filing with post-AT&T cash, DBS reconsolidation, Hughes Ch. 11 accounting	[I]
Nov 4, 2026	DISH Wireless / tower-company mediation stay ends	Light Reading
Q4 2026	DISH Wireless bankruptcy targeted to wrap up	[Mgmt]
Dec 8, 2026	SPCX 180-day lock-up: remaining shares (328.4m or 797.6m)	spacevalued
Mar 18 / May 17 / Jun 12, 2027	SPCX extended lock-ups (Musk’s on Jun 12, 2027)	spacevalued
Q2 2027	~1,000 V3 Starlinks in orbit (Musk target via GA)	[GA]
~Nov 30, 2027	**SpaceX Spectrum Acquisition Closing**: ECHO receives ~261.8m SPCX shares; Seller Notes retired; convert callable	8-K; 10-Q
Dec 15, 2027 (→ Dec 15,	Outside date for Acquisition	8-K 2025-09-08

Date (ET)	Event	Source
2028)	Closing (with extensions)	
Sept 1, 2028 / Mar 1, 2029	Deadline to sell remaining terrestrial spectrum, or private auction	Broadband Breakfast
Ongoing	FCC waiver on remaining licences; buyback ($5bn authorisation) vs indenture limits; possible DBS–DirecTV combination ("inevitable" per Ergen)	[Mgmt]

7. Risks

1. **Closing/counterparty.** The shares are a future delivery, about 13.5 months out. Risks include FCC or legal challenges, a SpaceX default or renegotiation, or the equity amount being cut if EchoStar does not fund excess payoff [F: LPA mechanics]. No resale lock-up terms are disclosed (gap).
2. **SpaceX mark.** SPCX trades at ~$2.1T on about 68x annualised Q2 revenue [I]. Lock-up supply runs through Jun 2027. ECHO's NAV moves about $0.75 per $1 move in SPCX [I].
3. **Tax leakage.** The stake's value has risen about 3.7x from the $42.40 deal value to $156.54 [I]. Management's $5–7bn (tax + shutdown) relies on mitigation such as Section 1033 exchanges, which is unproven [Mgmt]. If taxed at fair value at closing, federal tax on the gain alone could exceed this range [I; unquantified because tax basis is not disclosed].
4. **Holdco discount and control.** Ergen holds about 90% of the votes [F]. His history includes the DBS bondholder fights, a special committee on Hughes related-party transactions [F: 8-K Aug 3, 2026], and Ergen-affiliated ventures. The buyback is restricted by indentures. Management prioritises "investing in our business" and EchoStar Capital before buybacks [Mgmt]. The Prosus/Tencent analogy cuts both ways: Prosus traded at a persistent discount for years.
5. **Debt and bankruptcies.** Hughes Ch. 11 outcome. DISH Wireless tower claims could exceed the $2.4bn trust [F/web]. DBS still carries about $5.4bn of debt after emergence [I].
6. **Boost wind-down / operating drag.** Ergen: "we haven't cracked the code… we've treaded water for four years now." Pay-TV is in secular decline [Mgmt; Light Reading: 6.39m pay-TV subs at Q2].
7. **Cash dissipation.** Roughly $14–15bn of cash under a controlling owner who calls markets "frothy" and keeps all options open, from M&A to a DirecTV deal [Mgmt].
8. **Source risk.** Several key inputs are third-party or management estimates, not audited figures: cash, tax range, spectrum value, telco box.

8. Thesis breakers (what would falsify the long-ECHO-as-SpaceX-proxy case)

- The SpaceX Acquisition Closing fails, or the equity amount is materially reduced.
- The Q3 10-Q shows non-SpaceX net assets well below Case A (cash meaningfully below $14bn, or liabilities above $7bn).
- Tax guidance rises materially above $7bn without mitigation.
- Value-destructive use of cash (large related-party or empire-building M&A) instead of buybacks or distribution, or new SpaceX-share monetisation on poor terms.
- SPCX falls far enough that Case A NAV approaches the ECHO price, i.e. SPCX near $100 at today's ECHO price.
- For GA's SpaceX thesis itself, by GA's own logic: a credible competitor to Starship on cost per kg, or regulatory intervention (GA's named "primary risk").

9. Lens check (from `/workspace/shared/magis/lenses/`)

- **Murray Stahl / Horizon Kinetics (holdco, hidden value) [lens fit: strong].** A bits-and-pieces holdco holding a scarce asset (spectrum, then SpaceX equity) carried far below economic value: the licences' book value is $8.667bn against ~$41bn of SpaceX stock receivable. Stahl's question 7 ("what would close the gap?") has a weak answer. The only hard catalyst is the Nov 2027 delivery. Buybacks are restricted and distribution is not committed.
- **Seth Klarman (special situations) [fit: strong].** This is complexity, with bankruptcies at three subsidiaries, a forward-delivery stake, and forced or indifferent sellers (former SATS holders, bond-driven holders). Value is a range, roughly $138–173 of NAV per diluted share in Cases A–C, against a $91.56 price. Klarman would ask whether the discount pays for the illiquidity and complexity. On the conservative case it does (a 33% discount), but the margin depends on SPCX.
- **Mohnish Pabrai (Dhandho asymmetry) [fit: partial].** "Heads I win" holds if SpaceX compounds. "Tails I don't lose much" is weaker than GA's webinar line ("extremely limited downside") suggests: if SPCX halves, Case A NAV is about $79 versus a $91.56 price (§5). Cloning check: GA is a small fund (~$36–45m), and a Magis-inbox note (Mike, Aug 19, 2026) says Atreides was "nailing spcx". Neither is a reason by itself.
- **Li Lu (controlled companies, owner integrity) [fit: caution].** Ergen controls about 90% of the votes. His record of fighting creditors and of related-party structures (Hughes special committee; affiliate ventures) is the key diligence question. The call quote "We're making decisions that an owner would make" cuts both ways.
- **Buffett / Munger [fit: weak].** ECHO's operating businesses fail the moat and owner-earnings tests (declining Pay-TV, unprofitable wireless). The investment is really in SpaceX's moat, bought through a discounted wrapper. Munger's inversion:

the most likely way this disappoints is the discount persisting or widening while cash is redeployed outside shareholders' control.

10. Gaps and next steps

1. Q3 2026 ECHO 10-Q (~Nov): verify post-AT&T cash, DBS debt after emergence, Hughes deconsolidation, and tax provision.
2. Convert settlement election (cash vs ~58m shares) and the exact payoff amount at Nov 2027.
3. Resale or lock-up terms on the 261.8m SpaceX shares EchoStar will receive.
4. Outcome of the Oct 13 DISH Wireless confirmation hearing; size of tower claims.
5. Independent value for paired AWS-3 / 700 MHz / CBRS (GA's $13bn appraisal source not seen).
6. No Green Ash X/Twitter presence found. No Green Ash emails in the Magis inbox. GA letters are the primary record.
7. Market prices were taken from quote pages on Oct 13–14; refresh before any decision.